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RESULTS FOR USER QUERY:

Market Context & Relevance (12-18 Month View)

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USER QUERY

I am a portfolio manager at a multi-asset fund.
Theme: Mission-critical SaaS after the AI sell-off.
Horizon: Tactical 6–24 months.
Using only high-quality sources (company filings, earnings call transcripts, broker research, expert calls, reputable news), give me a concise analytical overview of this Theme:
1. What has changed in the last 12–18 months that makes this Theme relevant now (technology, regulation, competition, valuations)?
2. Which segments and business models look most exposed vs most resilient?
3. What are the 3–5 key mechanisms by which this Theme affects listed equities' revenues, costs, capex or risk premia?
4. What are the main bull vs bear arguments that appear repeatedly in broker and expert commentary?
Please structure the answer in bullet points.
Do not give me investment advice or price targets.
Keep it to 600–800 words.

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Market Context & Relevance (12-18 Month View)

Structural Shift: From "AI Hype" to "Execution Risk" and Valuation Compression

Over the last 12 to 18 months, the mission-critical SaaS landscape has undergone a profound psychological and financial recalibration. The market narrative has pivoted from viewing Generative AI (GenAI) as a universal tailwind for software productivity to a potential existential threat to seat-based business models. This shift, colloquially termed the "SaaSpocalypse" by some market observers, has precipitated a sharp decoupling in valuations between AI infrastructure providers and application-layer software vendors.

- **Valuation Reset:** The median enterprise value-to-next-twelve-months (EV/NTM) revenue multiple for public SaaS companies contracted significantly, falling 16% in the fourth quarter of 2025 to 4.6x, a level nearing decade lows. [1] Top-quartile SaaS valuations also compressed by 15% to 7.7x during the same period. [2] [4]
  1 2 3 • Kroll

22V Research • 17 Feb • Yield Curve Flattener Risk Details ›
S&P 500 industry analysis showing software leading in negative EPS revisions for 2026

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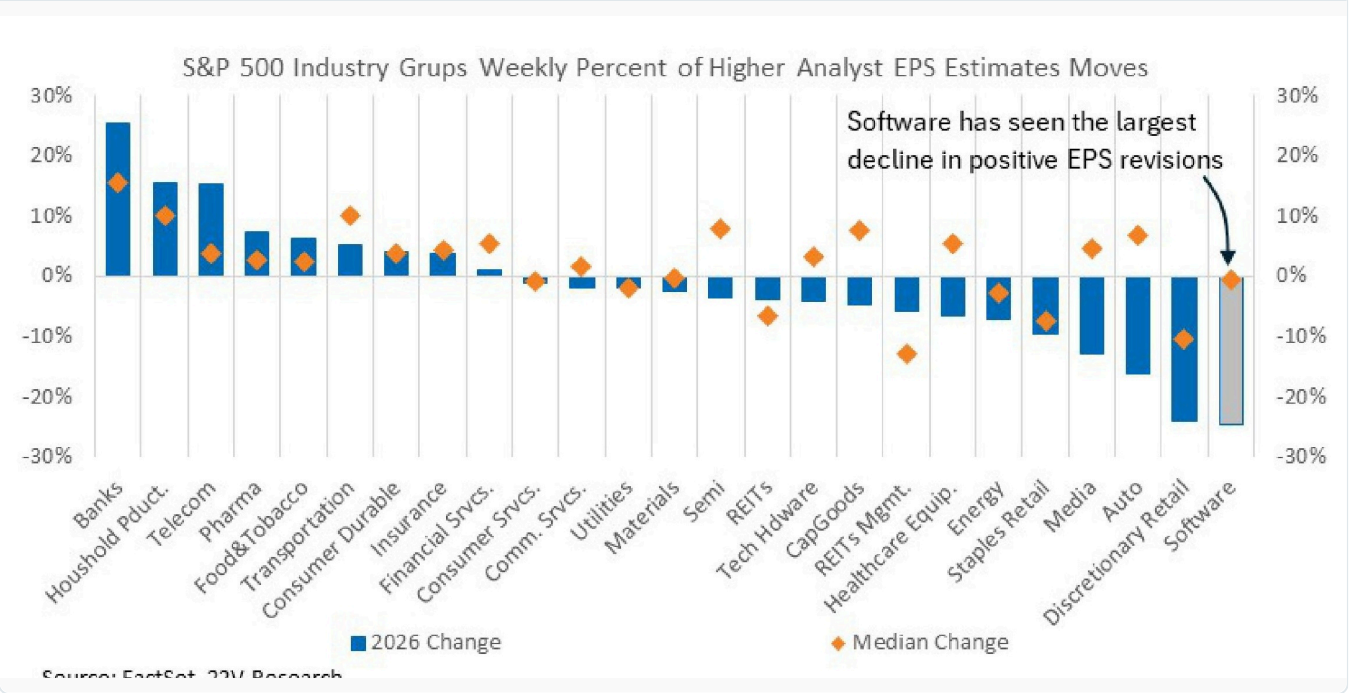

- **Deep Knowledge Investing** observes that this sell-off represents a recalibration from "boosterism," which viewed disruption as inevitable but distant, to a skeptical view that AI could destroy recurring revenue moats rather than merely augment them. [6] 6 • Deep Knowledge Investing
- **Nirmal Bang** notes that sentiment shifted viscerally in early 2026, moving from concerns over margin pressure to fears of "outright model disruption" following developments from Anthropic and Palantir that demonstrated the ability to collapse entire layers of the software value chain. [7] 7 • Nirmal Bang
- **22V Research** argues that traditional SaaS companies now face an existential dilemma: open their APIs and lose value to the orchestration layer, or close them and lose customers to more open competitors. [8] 8 • 22V Research

The technological conversation has moved rapidly from "copilots" (assistants that require human prompting) to "agents" (autonomous systems that execute complex workflows). This transition has fundamentally altered the competitive requirements for SaaS incumbents.

- **Technology Business Research (TBR)** reports that agentic AI has crossed from "hype to funded mandate" faster than GenAI did, with nearly half of surveyed respondents already shifting budgets from GenAI experimentation to agentic automation. [9] 9 • Technology Business Research
- **PartnerCap Securities** warns that the "learning gap" and execution risks are creating a divide between firms that can operationalize adaptive, agentic AI and those offering "static wrapper" solutions, which risk becoming commoditized. [10] 10 • PartnerCap Securities

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- **Salesforce** has explicitly pivoted its product strategy to the "Agentic Enterprise," renaming service offerings to reference "Agentforce" and positioning its platform as a hybrid of human and digital labor. [11] 11 • 10Q
- **Verint Systems** highlights the economic implications of this shift, noting that replacing a human seat (generating ~$200 in revenue) with AI bots (generating ~$1,200) creates a 6x revenue opportunity, provided the vendor captures the automation spend. [12] 12 • Transcript - Earnings Calls

Competitive Dynamics: Displacement vs. Bundling

The fear of "AI spending displacement"—where IT budgets are diverted from traditional SaaS to AI infrastructure—has forced incumbents to adopt aggressive defense strategies, primarily through bundling and consolidation.

- **TBR** indicates that market share consolidation is accelerating as enterprises streamline portfolios, favoring broad platform players like Microsoft, SAP, and Oracle that can bundle applications across ERP, HR, and productivity suites. [13] 13 • Technology Business Research
- **ICBC International Research** identifies the "SaaSpocalypse" as a market rejection of the "per-seat subscription + software feature premium" pricing logic, arguing that when AI agents can bypass frontend interfaces to call APIs directly, standalone software value evaporates. [14] 14 • ICBC International Research
- **Information Services Group (ISG)** reports that while AI disruption dominated the narrative, actual bookings for platform-oriented SaaS offerings remained resilient, with the SaaS segment generating $19.3 billion in Annual Contract Value (ACV) in 2025, up 16% year-over-year. [15] 15 • Transcript - Earnings Calls
- **Kinnevik** highlights a decoupling in valuation multiples, where "vertical SaaS" or integral systems of record trade at a clear premium compared to horizontal software, which faces greater pressure from AI tools. [16] 16 • Transcript - Earnings Calls

Macroeconomic and Budgetary Constraints

The rotation back to mission-critical software is also driven by a macroeconomic environment where capital costs remain elevated and IT budgets are scrutinized for immediate ROI.

- **Emkay Research** observes that AI spending is largely being funded through reshuffled digital budgets rather than incremental allocations, meaning AI is currently a "substitution layer" rather than a net new demand driver. [17] 17 • Emkay Research
- **Blue Owl** maintains that enterprise software debt remains an attractive investment due to floating rate structures, noting that credit spreads for public enterprise software companies have widened only marginally (10-20 basis points) compared to the sharp compression in equity multiples. [18] 18 • Transcript - Earnings Calls
- **Sixth Street Specialty Lending** suggests that valuations have come down partly because unit economics are slowing post-COVID, with "a little bit of cannibalization of AI budgets" impacting enterprise software spending.

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[19] 19 • Transcript - Earnings Calls

Segment Analysis: Exposure vs. Resilience

Resilient Models: The "System of Record" & Vertical Defense

The most resilient SaaS segments are those characterized by deep vertical integration, proprietary data ownership, and high regulatory barriers. These "Systems of Record" are increasingly viewed not as targets for displacement, but as the necessary foundation upon which AI agents must operate.

- **Vertical SaaS:** Specialized platforms embedded in complex industries are demonstrating superior defensive characteristics compared to horizontal peers. **Monroe Capital** identifies vertical SaaS as highly resilient because these platforms are built around specific industry workflows and regulatory requirements that generic AI cannot easily replicate, unlike horizontal software which faces greater displacement risk. [20] **RedEye** highlights Vitec Software as a prime example of this resilience, noting that its exposure to conservative customers and deep integration with data and processes protects it from "seat compression," while its proprietary data allows for the development of industry-specific AI solutions. [21] Similarly, **Kinnevik** observes that vertical software companies generating significant ROI, such as those in healthcare payments, are trading at a clear premium to horizontal software. [22] 20 • Company Publication 21 • RedEye 22 • Transcript - Earnings Calls

- **Infrastructure & Data Layer:** Companies that control the underlying data flow or infrastructure for an industry effectively tax the AI ecosystem rather than competing with it. **TechnologyOne** argues that value is shifting from the "UI layer" down to the "Systems of Record" because AI agents require trusted, real-time data to function; in this model, applications and data collapse into a single high-value layer. [23] **22V Research** points to Palantir as a signal of this shift, noting that it monetizes the "orchestration layer" that connects models to operational reality, sidestepping the risk of application displacement. [24] 23 • Earnings Presentation 24 • 22V Research

- **Regulatory & Compliance:** Sectors with high "cost of failure" offer a structural moat against AI hallucination risks. **Inspirisys** notes that in banking compliance, AI strengthens regulatory controls rather than replacing them, as the need for auditability and explainability keeps the incumbent software central to the workflow. [25] **Freee K.K.** reinforces this, stating that SaaS platforms serving as the "audit trail foundation for human accountability" thrive because businesses cannot delegate legal liability to autonomous agents. [26] 25 • Company Publication 26 • Investor Presentation

12 Feb • freee K.K. – 2026 Q2 Presentation ›
Comparison of SaaS business models: Characteristics of AI-exposed versus AI-resilient platforms

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Increasing Value Proposition	SaaS that is Challenged by AI	SaaS that Thrives in the Agentic AI Era
1 Authoritative Record Completeness (System of Record)	• **SaaS in domains where full business data integrity is not required.** • Prioritizing ease of information input and viewing through UI, without maintaining an official ledger, discretionary data entry permitted.	• **SaaS in domains requiring auditability and accountability.** • Maintain an accurate and mandatorily accumulated business data **ledger**. • Captures **full context to the authoritative record**, ensuring audit validity.
2 Execution Foundation for AI Job Completion	• **Point solution model** (fragmented workflows requiring additional tasks and manual input to complete a job).	• **End-to-end model** with workflows and rules covering the full business process. • Enables AI to reproducibly complete the full sequence of data entry, validation, confirmation and posting.
3 Audit Trail Foundation for Human Accountability	• No traceability of who performed what processing, on what basis; not explainable to third parties.	• Applies clearly defined authority scopes and policies to AI-executed operations, establishing a secure operating environment. • Ensure traceability of AI-executed operations.
4 Accessibility within the AI Ecosystem	• Limited APIs; AI-driven operations reliant on screen scraping.	• **Extensive API offerings** ensure that AI operations are predominantly API-driven. • Clearly defined operational scope and error-handling logic, ensuring disciplined AI operations.

Exposed Models: The "Thin Middle" & Seat-Based Vulnerability

The segments most exposed to devaluation are those relying on "seat-based" monetization of tasks that GenAI can fully automate. This "SaaSpocalypse" narrative focuses on horizontal productivity tools and "wrappers" that lack a proprietary data moat.

- **Horizontal Productivity & "Wrappers":** General-purpose tools are facing an existential squeeze. **ICBC International Research** warns that "low-complexity tools"—defined as wrappers over APIs without deep workflow integration—will be the first to be cannibalized, as their marginal cost of replication approaches zero. [29] **TechnologyOne** categorizes "Horizontal, general-purpose software" and "Single-application solutions" as having the highest risk of AI disruption due to lower switching costs and simpler cybersecurity requirements. [30] 29 • ICBC International Research 30 • Earnings Presentation
- **Seat-Based Pricing Dependency:** The traditional SaaS growth engine is stalling where revenue is tied strictly to human headcount. An expert on **LaunchMatrix** argues that the core seat-based business model is "crumbling" for traditional vendors because AI agents can now handle tasks that previously required multiple human users, directly eroding the need for seats. [32] **Anand Rathi** adds that firms dependent on "effort-based billing" or "pure staff augmentation" face significant commoditization risks as clients demand outcome-based pricing. [31] 32 • Expert Call 31 • Anand Rathi Securities

Strategic Pivots: Hybrid & Consumption-Based Models

To survive the erosion of seat-based economics, resilient companies are aggressively pivoting toward "hybrid" or consumption-based pricing models that capture value from AI activity rather than human logins.

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- **Shift to Usage/Consumption:** Companies are decoupling revenue from headcount. **Zuora** reports that 78% of companies are now pricing beyond just users, incorporating consumption and value-based metrics to capture the "nonlinear" costs and value of AI agents. [33] **PagerDuty** explicitly links its resilience to a strategic shift toward usage-based pricing, noting that while seat-based growth has been tempered by optimization, platform usage is growing over 25% year-over-year. [34] 33 • Company Publication 34 • Transcript - Earnings Calls
- **Hybrid Approaches:** Some vendors are blending models to maintain predictability while capturing upside. **HubSpot** recently adjusted its pricing to lower seat minimums while removing gates to adoption, a move designed to volume-base their AI monetization. [35] Conversely, **Atlassian** defends the seat-based model for collaboration software, arguing that "how many people are collaborating" remains the best proxy for value, though they have introduced consumption-based elements like AI credits. [36] **8x8** has taken a harder stance, investing in consumption-based pricing because the "notion of a seat of AI" does not work for autonomous agents. [37] 35 • Transcript - Conference 36 • Transcript - Earnings Calls 37 • Transcript - Earnings Calls

Category	Characteristics	Pricing Trend	Examples of Resilience/Action
Resilient	Vertical-specific, High Regulatory Barrier, Proprietary Data	Outcome-based, Platform fees	**TechnologyOne** (Gov/Edu), **Vitec** (Vertical), **Palantir** (Data/Orchestration)
Exposed	Horizontal, General Productivity, API "Wrappers"	Seat-based (Deflationary pressure)	**General Productivity Tools** , **Generic "Co-pilots"**
Pivoting	Infrastructure-heavy, High-volume automation	Consumption/Usage-based	**PagerDuty** (Incident usage), **8x8** (Contact center usage), **C3.ai** (Consumption)

Source: 38 • Transcript - Earnings Calls 39 • Earnings Presentation

Financial Mechanisms: Impact on P&L and Risk Premia

The integration of Generative AI is fundamentally altering the financial architecture of the SaaS model, forcing a transition from predictable, high-margin "seat-based" economics to more volatile, consumption-driven structures. This shift impacts every line of the P&L, from revenue recognition and cost of goods sold (COGS) to the risk premia investors assign to future cash flows.

Revenue Mechanics: The "Seat-to-Outcome" Transition

The most immediate financial pressure stems from the erosion of the traditional "per-seat" licensing model, which has historically provided SaaS vendors with highly predictable recurring revenue.

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- **Devaluation of the "Seat":** The core assumption of SaaS growth—that revenue scales linearly with human headcount—is fracturing. **Emkay Research** notes that if AI agents become the primary actors running workflows and making decisions, the number of human seats may no longer reflect the value delivered, necessitating a shift to platform or outcome-based fees. [40] An expert former leader at **Monday.com** reinforces this, arguing that seat-based pricing is "under attack" because a single AI agent can now execute tasks that previously required multiple human users, allowing customers to effectively "rig the game" by buying fewer licenses for equivalent output. [41] 40 • Emkay Research 41 • Expert Call

- **Shift to Consumption and Hybrid Pricing:** To capture value from AI usage, vendors are aggressively pivoting to consumption-based models (tokens, credits, compute units). **Zuora** reports that 78% of companies are now pricing beyond just users to capture the "nonlinear" value of AI agents, which cannot be sensibly priced per user. [42] **8x8 Inc** has observed that the "notion of a seat of AI" is failing, pushing them toward usage-based models where customers pay for actual consumption. [44] **PagerDuty** explicitly attributes its resilience to this transition, noting that while seat-based growth has faced "optimization-driven downgrades," platform usage is growing significantly. [43] 42 • Company Publication 44 • Transcript - Earnings Calls 43 • Transcript - Earnings Calls

- **Volatility Trade-off:** While consumption models align better with AI value, they introduce revenue volatility. **Kinaxis** management noted that while the industry is moving toward consumption pricing for AI, it creates "spend uncertainty" for customers compared to flat subscriptions. [46] Similarly, **Monday.com** notes that while they track standard SaaS metrics like CAC and LTV, the shift requires new "guardrails" like credits and tokens to manage the unpredictable nature of AI usage. [45] 46 • Transcript - Earnings Calls 45 • Company Publication

Budget Cannibalization: The "Invisible Worker" Effect

A critical mechanism affecting SaaS revenue is the "cannibalization" of IT budgets, where funds are diverted from traditional software to AI infrastructure and native apps.

- **Displacement of Traditional SaaS Spend: Tropic** 's analysis of over $18 billion in spend reveals that for mid-market and enterprise companies, spending on "AI-Native" tools grew 94% year-over-year, dramatically outpacing "Primarily SaaS" spending, which grew only 8%. [47] This suggests a direct reallocation of wallet share rather than purely incremental budget expansion. 47 • Company Publication

- **Shadow IT and Infrastructure Shift: Zylo** 's 2026 SaaS Management Index describes AI as the "most expensive 'invisible worker'," with AI-native app spend surging 393% in large enterprises. [48] This creates a "hidden" budget drain where business units bypass IT to expense AI tools, potentially crowding out renewals for legacy platforms. 48 • Press Release

- **Lengthening Sales Cycles:** The complexity of evaluating AI solutions is stalling deal velocity. **eGain Corp** reports sales cycles extending to six months or more as customers require extensive education on AI integration. [49] Similarly, **Airship AI** notes cycles stretching to 9-12 months due to the need for multi-level organizational buy-in for significant financial commitments. [50] 49 • 10Q 50 • 10K

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Cost Structure & Margins: The "Inference Tax"

The introduction of GenAI features fundamentally changes the SaaS cost structure, reintroducing variable costs into a business model previously defined by near-zero marginal costs.

- **Gross Margin Compression:** The cost of "inference"—running live AI models—is a direct drag on margins. **Figma** explicitly warns that short-term investments in AI inference and model training are expected to negatively impact gross margins. [52] **RWS Holdings** reported a gross margin decline to 43%, partly attributed to the shift toward lower-margin AI-enabled services and "TrainAI" workloads. [51] 52 • 10Q 51 • ARS
- **Infrastructure Reality Check:** Unlike traditional software code, AI features require heavy compute. **Redis** highlights that production AI demands a fundamentally different infrastructure stack involving vector embeddings and GPU acceleration, which drives up technical costs. [54] A speaker at the **Payments Innovation Conference** noted that traditional SaaS had "near zero marginal costs," but with AI, "compute costs, the GPU costs are very real," forcing the adoption of new monetization models to cover these expenses. [53] 54 • Company Publication 53 • Transcript - Conference
- **Efficiency Offsets:** Conversely, some firms are using AI to defend margins. **Clearwater Analytics** achieved 78.5% gross margins by utilizing GenAI to automate integration tasks, outpacing their own margin improvement targets. [55] **Coveo** maintained 81% product gross margins despite GenAI adoption, citing efficient growth strategies. [56] 55 • Transcript - Earnings Calls 56 • Transcript - Earnings Calls

Risk Premia: Re-underwriting Terminal Value

The "AI Sell-off" reflects a structural increase in the equity risk premium applied to SaaS stocks, driven by fears that AI will truncate the longevity of cash flows (terminal value).

- **Terminal Value Erosion: Rathbones** observes that software companies have been "viciously derated" because investors fear their terminal value—the future "pot of money" that justifies high valuations—could be substantially smaller if AI disrupts their business model. [57] The market is effectively shortening the duration of cash flows it is willing to underwrite. [59] 57 58 • Company Publication

Deep Knowledge Investing • 8 Feb • 5 Things to Know in Investing This Week - The AI Eats Software Issue
Stock price declines in major enterprise software firms, illustrating the 'AI sell-off' and valuation reset

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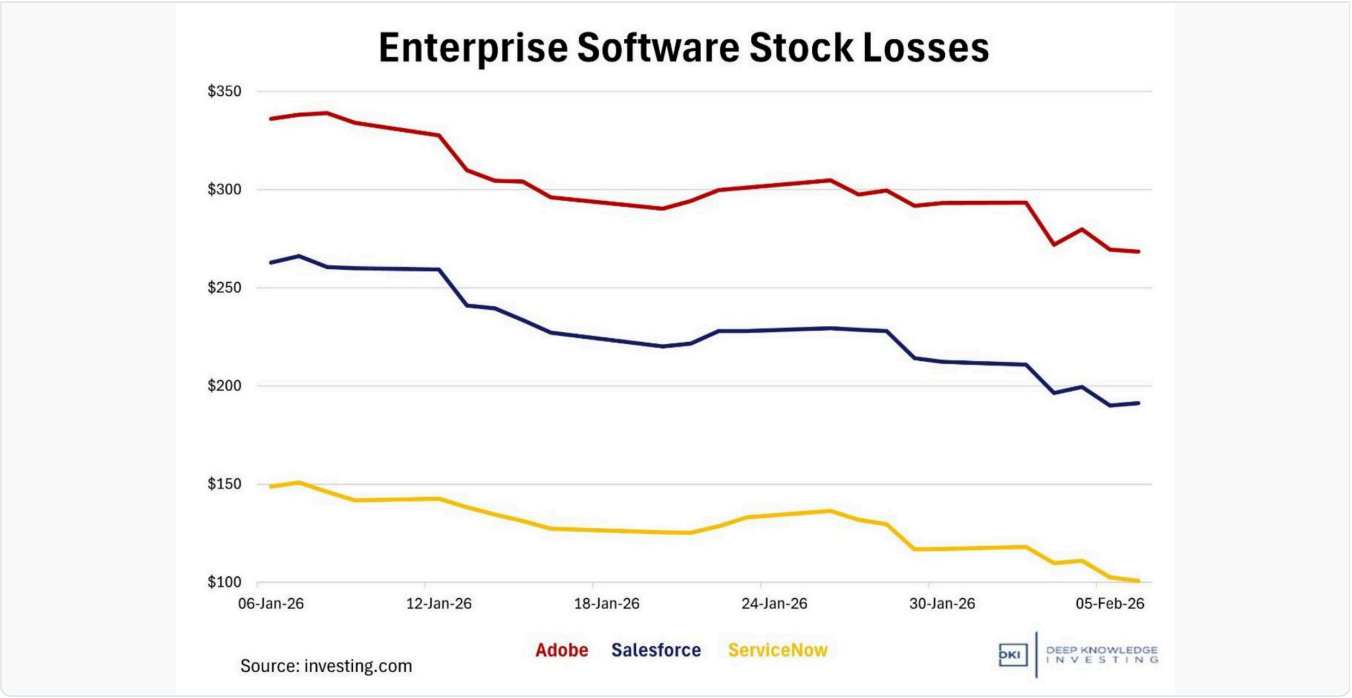

- **Deflationary Pressure on ARPU: TwentyFour Income Fund** argues that the credit risk in SaaS is less about immediate obsolescence and more about pressure on Average Revenue Per User (ARPU). Unless a company can prove a "moat" via proprietary data or deep workflow integration, they may struggle to charge multiples higher than the cost of raw AI models from frontier labs. [61] 61 • Company Publication
- **Valuation Reset: Anand Rathi** notes that markets now reward "visible AI revenue monetisation" rather than just "AI intent," causing a sharp divergence where firms relying on "effort-based billing" face significant valuation risks compared to those with domain-led IP. [62] 62 • Anand Rathi Securities

Summary of Financial Impact

Financial Lever	Traditional SaaS Impact	Post-AI Impact
Revenue Unit	Seat / User License	Consumption / Token / Outcome
Marginal Cost	Near Zero	High (Inference & Compute)
Sales Cycle	Predictable / Standardized	Lengthening / Complex Scrutiny
Budget Source	Software / OpEx	Cannibalized from Headcount or Legacy Apps
Valuation Risk	Churn / Competition	Terminal Value / Model Obsolescence

Source: Synthesized from **Zuora** [63] , **Figma** , **Rathbones** , and **Emkay Research** . 63 • Company Publication

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Bull vs. Bear Debate: Broker & Expert Consensus

The debate surrounding the "SaaSpocalypse" has crystallized into two distinct camps. Bulls view Generative AI as a sustaining innovation that reinforces the moats of incumbents through data gravity and new pricing levers. Bears view it as a disruptive innovation that deflationizes the seat-based business model and commoditizes the application layer.

The Bull Case: Incumbency, Data Gravity, and Pricing Power

The bull narrative posits that AI models are commodities, while proprietary enterprise data and workflow context are the scarce assets. In this view, incumbents who control the "System of Record" are best positioned to monetize AI by embedding it into critical workflows where trust and security are paramount.

- **AI as a Pricing Lever & ARPU Expander:** Bulls argue that AI features will drive Average Revenue Per User (ARPU) higher rather than lower seat counts. **CMB International** maintains that SaaS vendors, due to their asset-light models and limited CapEx needs, can maintain margin improvements while using AI to enhance operational efficiency. [64] They highlight **ServiceNow** as a prime beneficiary, noting that its AI products (Now Assist) are driving ACV growth and creating significant upselling opportunities, with AI product ACV surpassing $600 million in 4Q25. [65] **Salesforce** management reinforces this, reporting that Agentforce and Data Cloud are seeing triple-digit growth, arguing that customers do not want to "DIY" their AI but prefer a trusted platform that integrates data and agents securely. [66] 64 • CMB International 65 • CMB International 66 • Transcript - Earnings Calls
- **The "Incumbent Data Advantage":** A recurring theme is that AI models are useless without context. **Workday** executives argue that the "AI disruption risk" is overstated because large enterprises will not trust their financial and HR data to "venture-backed, vibe-coded AI companies." [67] They assert that data quality, integrity, and security are the primary bottlenecks for AI adoption—areas where incumbents like Workday have an "unfair advantage" due to their curated datasets. [69] **22V Research** notes that for companies like **Palantir** , every improvement in foundation models makes their integration and governance layer *more* valuable, not less, because it provides the necessary connective tissue for models to function in regulated environments. [68] 67 • Transcript - Analyst/Investor 69 • Transcript - Earnings Calls 68 • 22V Research
- **Valuation Support & Efficiency:** Bulls see the current sell-off as a buying opportunity for high-quality assets. [70] **RedEye** argues that while the SaaS sector faces sentiment pressure, companies with exposure to mission-critical platforms and public sector clients (like **Addnode**) are trading at attractive multiples relative to their historical averages. [71] **Blue Owl** suggests that enterprise software debt remains attractive, and valuations have compressed partly due to a temporary "air pocket" in unit economics rather than permanent structural impairment. 71 • RedEye

Deep Knowledge Investing • 8 Feb • 5 Things to Know in Investing This Week - The AI Eats Software Issue
Recent stock performance of major enterprise software players illustrating the sector sell-off

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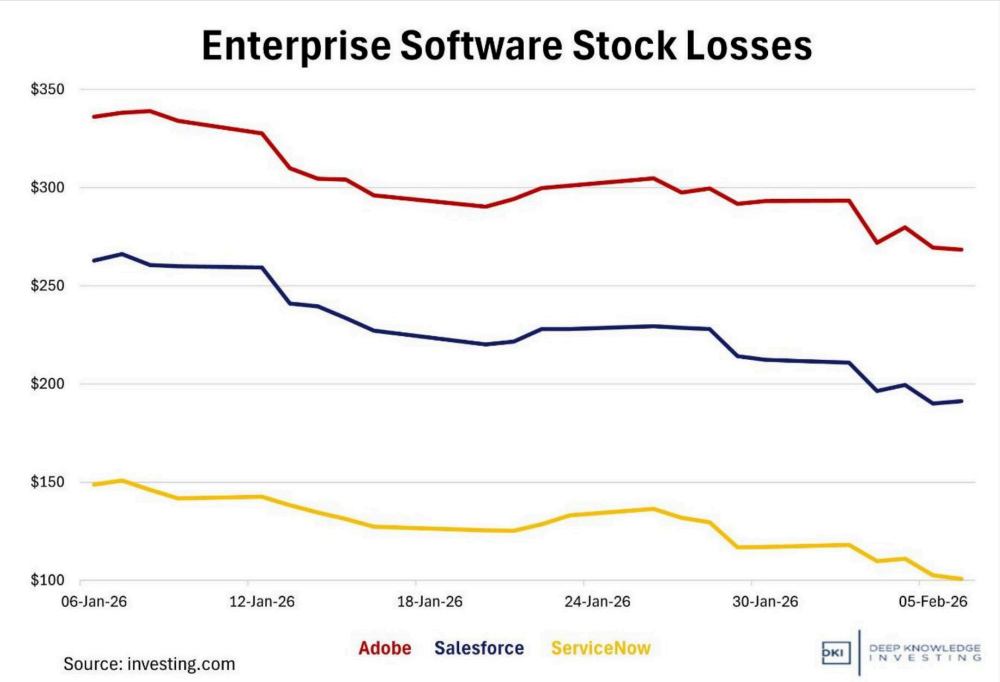

- **Valuation Support & Efficiency (cont.): Edison Investment Research** notes that private equity firms like Vista Equity Partners believe AI will rewrite the "Rule of 40" to a "Rule of 50 or 60," as AI-driven coding assistants improve engineering productivity by 2-10x, structurally lifting margins. [73] 73 • Edison Investment Research

The Bear Case: Deflation, Commoditization, and Execution Risk

The bear narrative is driven by the fear that AI agents will fundamentally break the link between headcount and revenue, leading to a long-term deflationary spiral for seat-based software.

- **Deflationary Pressure on Seats:** The most prevalent bear argument is "seat compression"—if one agent can do the work of three humans, customers will buy fewer licenses. **Emkay Research** warns that if AI agents become the primary actors in software, the number of human seats may no longer reflect the value delivered, threatening the core growth engine of the SaaS model. [74] An expert former leader at **Monday.com** states bluntly that the seat-based model is "under attack" because customers can now "rig the game" by using a single seat to deploy agents that execute the work of many. [75] 74 • Emkay Research 75 • Expert Call

- **Deflationary Pressure on Seats (cont.): ICBC International Research** calls this the "SaaSpocalypse," arguing that the market is rejecting the "per-seat subscription + software feature premium" logic because AI agents can bypass frontend interfaces to call APIs directly, evaporating standalone software value. [76] 76 • ICBC International Research

- **Commoditization of Code & "Wrappers":** Bears argue that many SaaS products are merely "thin wrappers" around databases that can be easily replicated by AI. **Nirmal Bang** argues that AI built as a "wrapper" will not defend growth or margins, and that Indian IT firms functioning as integrators of third-party intelligence face a "wakeup moment." [77] 77 • Nirmal Bang

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- **Commoditization of Code & "Wrappers" (cont.): PartnerCap Securities** warns that "static wrapper" solutions risk rapid commoditization as foundation models effectively swallow their functionality.
- **Commoditization of Code & "Wrappers" (cont.): Technology Business Research** adds that technical debt and market saturation are causing CIOs to prioritize modernization over expanding SaaS procurement, weakening the "gravitational pull" of traditional SaaS. [78] 78 • Technology Business Research
- **Execution & Integration Risks:** Even if incumbents pivot, the transition is fraught with risk. **Freedom Broker** highlights that while **ServiceNow** has strong guidance, the market remains wary of execution risks related to large-scale M&A and the "frenemy" dynamic with LLM providers who are both partners and potential competitors. [79] 79 • Freedom Broker
- **Execution & Integration Risks (cont.): Water Tower Research** notes that for companies like **C3.ai** , rapid advances in AI technology could render current platform investments obsolete, requiring significant reinvestment to maintain market position. [80] 80 • Water Tower Research
- **Execution & Integration Risks (cont.): Deep Knowledge Investing** observes that the market has shifted from "boosterism" to skepticism, fearing that AI could destroy recurring revenue moats rather than merely augment them. [81] 81 • Deep Knowledge Investing

Synthesis of Consensus

Theme	Bull Consensus	Bear Consensus	Key Broker/Expert Sources
Pricing Power	AI is a premium add-on that expands ARPU and ACV; customers want trusted "AI + Data" bundles.	Seat-based models are deflationary; customers will use AI to reduce license counts ("seat compression").	**CMB** , **Salesforce** , **Emkay** , **Monday.com Expert**
Moats	"Data Gravity" and integration deeply embed incumbents; "Systems of Record" are essential for agents.	"Wrappers" and UI layers are easily replicated; value shifts to models or infrastructure; "SaaSpocalypse".	**Workday** , **22V Research** , **ICBC** , **Nirmal Bang**
Valuations	Sell-off is an overreaction; efficient growth and margin expansion (Rule of 60) support valuation recovery.	Terminal value is impaired; growth will structurally slow as software deflation sets in.	**RedEye** , **Edison** , **Deep Knowledge Investing**

Source: Synthesized from **CMB International** , **Emkay Research** , **ICBC International Research** , and **RedEye** .

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